

Evaluating the Impact of Canada's 2016 Child Benefit Reform on Child Poverty

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Introduction

Child poverty represents a persistent policy challenge across developed economies, with cash transfer programs increasingly recognised as a primary instrument for addressing it (Bor-nukova et al. 2024). In Canada, the Canada Child Benefit (CCB) is a single income-tested tax-free monthly cash transfer to eligible families to help with the cost of raising children under 18 years of age. The CCB replaced a patchwork of three programs: the Universal Child Care Benefit (UCCB), the Canada Child Tax Benefit (CCTB), and the National Child Benefit (NCB). The CCTB and NCB were income tested but modest, whilst the UCCB was universal but taxable, meaning its real value varied by income bracket (Baker et al. 2023). The CCB addressed these limitations by providing larger, tax-free transfers concentrated among lower-income families, with benefit levels phasing out as household income rises. This marks a departure from the flat-rate, pre-tax structure of the UCCB (Baker et al. 2023). The Canadian Department of Finance credited the program with lifting approximately 300,000 children out of poverty and projected child poverty rates 40% below their 2013 level (Baker et al. 2023).

Its introduction aimed to reduce child poverty, directing more money to low income families, unlike the UCCB, which paid a flat amount regardless of income.

Research Question(s) & Hypotheses

Dataset & Methods

Exploratory Data Analysis

Baker, Michael, Derek Messacar, and Mark Stabile. 2023. "Effects of Child Tax Benefits on Poverty and Labor Supply: Evidence from the Canada Child Benefit and Universal Child Care Benefit." *Journal of Labor Economics* 41 (4): 1129–82.

Bornukova, Kateryna, Adrian Hernandez, and Fidel Picos. 2024. *Investing in Children: The Impact of EU Tax and Benefit Systems on Child Poverty and Inequality*. JRC Working Papers on Taxation; Structural Reforms.